Unit4 Competitive and concentrated markets

4,1 market structure

- market structure and how they affect behavior of firms
  - Characteristics that determine the market structure
    - number of firms
    - degree of product differentiation
    - the ease of(or barriers to) entry into this market
  - types of market strcture
    - perfect competition
      - large number of buyers and sellers
      - products are identical
      - perfect information
      - no barriers to entry into or exit from the industry
      - eg: fruit sellers, foreign exchange market
    - monopolistic competition
      - large number of small firms
      - similar but not identical products
      - few barriers to entry and exit from the industry
    - oligopoly — small number of firms control the supply of a good or service
    - monopoly — one firm controls the supply of a good or service
  - Significance of market structure for behaviour
    - industry — consists of all the firms involved in producing a particular good or service.
    - price maker
    - price taker
- Factors used to distinguish between market structures
  - Number of firms
    - many firms in an industry
      - each has a small market share
      - little influence (market power) on the market
    - only a few firms in an industry
      - tend to have more market share
      - more influence (market power) on the market
    - only one firm in an industry
      - much more influence on the market
      - usually is controlled by the government
  - Degree of product differentiation — more firms differentiate their product — greater their ability to set price
  - Ease of entry into the market — easier it is for new firms to come into the market — less power existing firms have to set prices

4.2 objectives of firms

- Profit as an important objective of most firms
  - functions of profit
    - reward for risk-taking — reward of getting uncetainty of successful
    - incentive — provide incentives to set up and continue in bussiness
    - source of funds — finance investment(an increase in the capital stock)
  - profit maximisation: producing where total revenue minus total costs is the greatest
- other objectives of firms
  - survival — make enough monrey to cover costs
  - sales growth
    - make more of the same product/sell a wider range of products
    - reduce the price of their goods and services &open more business locations
  - increasing market share
    - persuade customers to switch away from their rivals — have to lower their prices — could reduce their profits in the short run but have a larger market share in the long run
    - increase brand loyalty — be able to raise prices — increasing profits in the long run
  - None-financial objectives
    - social objectives
    - stakeholder objectives
    - moral and ethical considerations

4.3 competitve markets

- main characteristics of a perfectly competitive market
  - large number of buyers and sellers
    - no single entity can influence the market price
    - must adapt to the competitive market forces
  - homogeneous or identical products — no preference for one seller over another
  - free entry and exit — nothing to stop new firms from coming into the market/existing firms from leaving the market — dynamic market — resources are allocated efficiently based on profitability
  - perfect information — anything that may affect a buyer or seller's decision making is known and understood — no need for advertising
- price in perfectly competitive markets is determined by demand and supply — none of which has any power in the market — price of the product is determined by the marketdemand and supply
- profits are likely to be lower in a competitive market
  - a large number of firms — each firm has little or no power to set price — hard to sell at a higher price — consumers can buy similar products more cheaply from another firm — lower price → lower profit
  - low barriers to entry — If there are high profits — attract other firms to come — supply will be higher — lower price → lower profit
  - good market information
    - transparency leads to price competition — consumers will choose the lowest-priced option — forcing firms to lower their prices
    - firms can quickly respond to changes in market conditions — finds a way to lower costs or improve quality — quickly adopt similar strategies to remain competitive — ↓profit

4.4 monopoly and monopoly power

- difference between pure monopoly and monopoly power
- Factors that influence monopoly power
  - barriers to entry
  - the number of competitors
  - advertising — Successful advertising by the firm means it will have some monopoly power
  - the degree of product differentiation
  - imperfect information — Imperfect information may increase the monopoly power of some firms
- concentration ratio
  - a measure of the combined share of the largest firms in an industry, usually as a percentage of the total
  - pay attention to "others" or "the rest"
  - A high concentration ratio indicates a concentrated market
- monopoly suggests higher prices, profits and inefficiency, and misallocation of resources
  - monopolist is the sole provider of a product or service in the market — face no direct competition — set the price higher than in a competitive market
    - But a monopolist cannot set both the price and the quantity at the same time due to the contraction of market demand
  - price consumers pay does not reflect the true cost — inefficiency — does not satisfies consumer preferences — welfare does not maximised
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  - lack of competitive pressure — less incentive to operate efficiently — produce at higher costs — waste of resources
- Potential benefits from monopoly
  - Economies of scale — reduce it average total cost — lower price for consumers
  - More invention and innovation — likely to have more money available from its profits for research and development (R&D) — strengthen the firm's position

4.5 competitive market process

- Competition by price and other methods
  - The competitive process
  - Price competition
  - Non-price competition
    - Improving products
    - Reducing costs
    - Improving quality
    - Product differentiation

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